

SENATE RULES COMMITTEE**SB 890**

Office of Senate Floor Analyses

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THIRD READING

Bill No: SB 890

Author: Leno (D)

Amended: 5/17/11

Vote: 21

SENATE JUDICIARY COMMITTEE: 3-2, 5/10/11

AYES: Evans, Corbett, Leno

NOES: Harman, Blakeslee

SUBJECT: Fair Debt Buyers Practices Act**SOURCE:** Attorney General Kamala Harris

DIGEST: This bill, the Fair Debt Buyers Practices Act, imposes various restrictions on debt buyers who seek to take steps to collect purchased debt, including (1) prohibiting the collection of a debt without valid documentation; (2) requiring a debt buyer who receives payment to provide a receipt; (3) prohibiting suit or other action to collect a consumer debt if the statute of limitations has expired; (4) requiring specified documentation of the debt to be attached to a complaint; (5) requiring a dismissal of the action, with prejudice, if a debt buyer seeks a default judgment without complying with specified requirements. This bill provides that a debt buyer who violates the provisions of this bill is liable for specified damages, including costs and reasonable attorney's fees, but permits a debt buyer to avoid liability for unintentional bona fide errors. This bill also requires a claim of exemption, and related financial statement form, to be provided to a judgment debtor by a levying officer, as specified.

ANALYSIS: Existing federal law generally regulates the collection of debt through, among other things, the Fair Debt Collection Practices Act; Fair Credit Reporting Act; and the Gramm-Leach-Bliley Act.

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Existing state law, the Rosenthal Fair Debt Collection Practices Act, generally prohibits deceptive, dishonest, unfair and unreasonable debt collection practices by debt collectors, and regulates the form and content of communications by collectors to debtors and others. (Civil Code Section 1788 et seq.)

This bill enacts the Fair Debt Buyers Practices Act, whose requirements and remedies are cumulative to those in the Rosenthal Fair Debt Collection Practices Act as well as any other law.

This bill prohibits a debt buyer from making any written statement in an attempt to collect a consumer debt, including bringing suit or initiating another type of proceeding, unless the debt buyer possesses valid documentation that the buyer is the sole owner of the debt and reasonable verification of the amount of the debt allegedly owed by the debtor. Reasonable verification shall include documentation of the name of the original creditor, the name and address of the debtor as it appeared on the contract or other document evidencing the agreement to the debt, and an itemized accounting of the amount claimed to be owed, including all fees and charges. Upon receipt of a request from the debtor to whom the debt purportedly applies, the debt buyer shall make this information available, without charge, to the debtor within five business days.

This bill requires a debt buyer who receives payment on a debt to provide an original receipt, or an exact copy, to the individual from whom payment is received within 10 days of payment, as specified.

This bill prohibits a debt buyer from bringing suit, initiating another proceeding, or taking any other action to collect a consumer debt if the applicable statute of limitations on the cause of action has expired.

This bill requires the following with respect to an action brought by a debt buyer on a consumer debt:

- Plaintiff shall disclose clearly and conspicuously on the face of the complaint that he/she is a debt buyer;
- All of the following are attached: (1) copy of the contract or other writing evidencing the original debt and agreement of the debtor to be responsible for the debt, and establishing that each defendant debtor is, in

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fact, responsible for the original account; (2) copy of the writing establishing that the debt buyer is the sole current owner of the debt, as specified; and

- A statement of calculation of liability that separately states the amount of the original debt, each fee and charge added to the debt, and each payment credited to the debt after the earliest charge off or the delinquency closest in time to the sale of the debt.

This bill provides that for purposes of the above provisions, the only evidence sufficient to establish the amount and nature of the debt shall be properly authenticated business records that satisfy the requirements of the Evidence Code, as specified, and include the following items: (1) copy of the contract or other writing evidencing the original debt; (2) original account number; (3) name of the original creditor; (4) original charge-off balance; (5) itemization of charges and fees claimed to be owed; (6) itemization of post charge-off additions, if applicable; (7) date of last payment; and (8) amount of interest claims and the basis for the interest charged.

This bill provides that if a plaintiff who is a debt buyer seeks a default judgment and has not complied with the above requirements, the court shall not enter a default judgment for the plaintiff and shall dismiss the action with prejudice.

This bill, except as specified, provides that a debt buyer who violates any provision of this bill with respect to any person is liable to the person in an amount equaling the sum of the following: (1) actual damage sustained; (2) damages, as specified in an individual or class action; and (3) costs of the action and reasonable attorney's fees.

This bill provides that a debt buyer shall not be liable in any action brought under this bill, if the debt buyer shows by a preponderance of the evidence that the violation was not intentional and resulted from a bona fide error notwithstanding the maintenance of procedures reasonably adapted to avoid any such error.

This bill provides that an action to enforce any liability created by this title may be brought within two years from the date of discovery of the violation.

This bill provides that in a case involving consumer debt, as defined and regulated under the Rosenthal Fair Debt Collection Practices Act, if the defendant debtor appears for trial on the scheduled date and the plaintiff debt buyer either fails to appear or is not prepared to proceed to trial, and the court does not find a good cause for continuance, judgment shall be entered for the debtor. Notwithstanding any other law, in that instance, the court may award the defendant debtor's costs of preparing for trial, including, but not limited to, lost wages and transportation expenses.

Existing law establishes a process for the enforcement of money judgments and requires a levying officer to provide certain documents and information to a judgment debtor and to a designated employer in connection with wage garnishment. Existing law permits a process server also to serve an earnings withholding order on an employer and requires that the process server also serve certain documents at this time. Existing law requires an employer who is served with an earnings withholding order to provide certain documents to an employee who is a judgment debtor. (Code Civil Procedure Sections 700.010, 706.103, 706.104, 706.108, and 706.122)

This bill requires, in the circumstances described above, that a copy of the form that the judgment debtor may use to make a claim of exemption and a copy of the form used to provide a financial statement also be provided.

This bill provides that its provisions are severable. If any provision of this section or its application is held invalid, that invalidity shall not affect other provisions or applications that can be given effect without the invalid provision or application.

Background

Debt buyers are companies that purchase delinquent or charged-off debts from a creditor for a certain fraction of the face value of the debt. Those companies have become subject to increased scrutiny due to numerous complaints on behalf of consumers. Last July, the Federal Trade Commission (FTC) issued a report examining debt collection litigation and arbitration proceedings that concluded the "system for resolving consumer debt collection disputes is broken" and recommended significant reforms. The FTC further noted that: "The report finds very few consumers defend or otherwise participate in debt collection litigation. The Commission therefore recommends state and local governments consider making a variety of reforms to service of process, pleading, and court rules and

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practices to increase the ability of consumers to defend or otherwise participate in debt collection litigation. The report also finds complaints and attachments in debt collection cases often do not provide adequate information for consumers to answer complaints or for judges to rule on motions for default judgment. The FTC therefore recommends that courts more rigorously apply existing rules to require that collectors provide adequate information and that jurisdictions consider adopting rules mandating the information which must be included in or attached to the complaint. The report additionally finds that state statutes of limitations on filing actions to recover on debt are sometimes variable and complex, and generally not understood by consumers. The Commission suggests that states consider modifying their laws to make it simpler to determine the applicable statute of limitations, and to require that collectors provide consumers with important information about their legal rights when collecting debt they know or should know is time-barred.”

FISCAL EFFECT: Appropriation: No Fiscal Com.: No Local: No

SUPPORT: (Verified 5/17/11)

Attorney General Kamala Harris (source)
California Reinvestment Coalition
Consumers Union
East Bay Community Law Center
Housing and Economic Rights Advocates
Lawyers’ Committee for Civil Rights of the San Francisco Bay Area
Professor Scott Maurer, Santa Clara University School of Law

OPPOSITION: (Verified 5/17/11)

California Association of Collectors
California Creditors Bar Association
DBA International

ARGUMENTS IN SUPPORT: The author states:

“According to the Federal Trade Commission, [t]he system for resolving disputes about consumer debts is broken, and has urged states to pass legislation to provide adequate protection for consumers. The system is broken because courts have been swamped with debt collection law suits driven by the growth of an industry that buys and sells bundled portfolios

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of consumer debt, and misuses the courts to leverage their collection efforts.

“The industry’s practices echo the scandal surrounding the processing of delinquent mortgages. Here, debt buyers use ‘robo signers’ who sign affidavits averring that they have reviewed and verified debtors’ records, when they have only reviewed basic, and often incomplete, account statements records or spreadsheets on a computer screen. Moreover, because consumer debt is being bought and sold so frequently, and over a period of years, companies are frequently pursuing the wrong person, or the filing claims that have no lawful basis.

“Frequently, these debt collection actions are filed by debt buyers without proof that the debt ever existed. Yet actions proceed to judgment because ninety-five percent of consumers do not respond to these lawsuits—many because they do not receive notice—allowing the debt collector to take a default judgment against the consumer and levy against the consumer’s personnel accounts.

The author maintains that this bill, “The Fair Debt Buyers Act[,] would reform the debt collection litigation process in a number of ways to aid consumers and unburden the courts from costly, unmeritorious litigation.”

ARGUMENTS IN OPPOSITION: The California Association of Collectors (CAC) contends that this bill “confuses and blends the concepts of debt verification and prove-up hearings. Debt verification is the requirement on behalf of the debt owner or collector to demonstrate that the debt is owed by the consumer. Conversely, to obtain a judgment at trial or prove-up hearing, the plaintiff must produce admissible evidence satisfactory to the court that judgment is property against the named defendants.”

The CAC further contends that debtors have the existing right to make an offer to compromise, and to seek damages for frivolous lawsuits, and to sue for malicious prosecution.

DBA International contends that the bill “sets unprecedented obligations on the entire collection industry in the judicial system, proposes requirements which go beyond what is required or even available by the original creditors, and generally, creates more ambiguity than solves perceived problems.” DBA ... notes that ownership is established for most purchases by a Bill of

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Sale and argues that (1) the bill would eviscerate a judge's right to evaluate the trustworthiness of the evidence before them; (2) the itemization requirement is not even imposed upon originating banks by federal law; (3) the bill approaches the problem from the wrong perspective since it is the original creditor that has the information; (4) the FDCPA already imposes requirements on debt collectors; and (5) the bill will cause unnecessary filings of excess documents.

The California Creditors Bar Association expresses concern that the bill proposes "extensive regulations for only one type of debt ownership," would flip the burden of proof regarding the statute of limitations, "imposes wildly unreasonable requirements for documentation," and contends that the liability imposed would be punitive.

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SUPPORT/OPPOSITION: SEE ABOVE

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